UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF VERMONT

BLACKBERRY CORPORATION, AND CYLANCE INC., (D/B/A BLACKBERRY CYLANCE),

Plaintiffs,

v.

KAYLAN BROWN COULTER,

Defendant.

Docket No. 5:22-CV-98

DEFENDANT'S MEMORANDUM OF LAW IN SUPPORT OF HER MOTION TO DISMISS ALL CLAIMS OR STAY PROCEEDING

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Defendant Kaylan Coulter submits this Memorandum of Law in support of her Motion to Dismiss. As explained in detail below, Plaintiffs have failed to allege a plausible cause of action against Ms. Coulter, and all claims should therefore be dismissed for failure to state a claim. Alternatively, if the Court were to conclude that any claim has somehow been plausibly pleaded, the Court should stay any proceeding pending the completion of related litigation in California and the Vermont Superior Court.

INTRODUCTION AND BACKGROUND

At first blush this case may appear to be a simple dispute between a business and a former employee arising from a confidentiality agreement. But this action is really just the latest sortie in an ongoing litigation campaign that has been launched by Plaintiffs – who are multi-billion dollar members of the mammoth cybersecurity industry – against a chief competitor, Sentinel Labs, Inc. ("Sentinel"), and several former employees who resigned their employment with Plaintiffs to join Sentinel.

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Plaintiffs' litigation onslaught began over two-and-a-half years ago when they separately sued three former employees on the same day, October 17, 2019. Plaintiffs alleged that they had recently discovered that these former employees – Scott Scheferman, Timothy Mackie, and Chris Coulter (Ms. Coulter's husband) – were part of a "scheme" by Sentinel to "poach" employees. First Amended Complaint (filed Oct. 23, 2019) in *Blackberry Corporation et al. v. Chris Coulter et al.*, 953-10-19 Cncv, at ¶ 32 (attached as **Exhibit A**). In addition to these three original lawsuits, Plaintiffs sued several other former employees in various jurisdictions, and also sued Mr. Coulter again - twice - in Delaware. See Memorandum in Support of Dismissal or Stay (filed Dec. 22, 2020) in Blackberry Corporation et al. v. Chris Coulter et al., 953-10-19 Cncv, at 4-5 (attached as Exhibit B) (setting forth a history of Plaintiffs' oppressive litigation actions).

Then, in January 2020, Plaintiffs filed their primary lawsuit against Sentinel itself and a number of "Doe" defendants (two of whom appear to be Mr. and Ms. Coulter) in Santa Clara County, California. In this lawsuit, Blackberry pled the very same "scheme" that it pled in the individual cases, alleging that, "Sentinel has orchestrated an ongoing and continuous scheme to raid Plaintiffs' chief talent with respect to Cylance products, services and customers." Complaint for Damages and Injunctive Relief (filed Jan. 16, 2020) in *Blackberry Corporation et al. v. Sentinel Labs, Inc. et al.*, 20-CV-361950 (Superior Court Santa Clara County, CA), at ¶ 34 (emphasis added) (attached as **Exhibit C**). *Compare id. with* First Amended Complaint in *Blackberry Corp. et al. v. Chris Coulter et al.*, 953-10-19 Cncv, at ¶ 32.

After Plaintiffs filed their primary suit against Sentinel in California, many of the satellite cases against former Blackberry Cylance employees in their individual capacities were stayed or otherwise disposed of, and the California case became the "main event." *See generally* Memorandum in Support of Dismissal or Stay in *Blackberry Corporation et al. v. Chris Coulter*

et al., 953-10-19 Cnev, at 4-5. But the case against Mr. Coulter and Sentinel in Vermont continued.[1] Although the Vermont Superior Court entered an order limiting the scope of discovery to matters that could not be raised or addressed in the California case, Plaintiffs continued to use the state court case to pursue overly broad and privileged categories of information, documents, ESI; they even demanded that Ms. Coulter's husband simply surrender his smart phone, his computer, and his data storage accounts so that Plaintiffs could "inspect" them whenever and however they wished. Mr. Coulter properly resisted these efforts, and the matter has since been the subject of a prolonged series of discovery disputes and motions in that case (although the Court denied Plaintiffs' effort to compel Mr. Coulter to surrender devices).

Not content to seek overly broad discovery from Ms. Coulter's husband, however, Plaintiffs then pursued Ms. Coulter herself through third party subpoenas. First, they served a subpoena for three years of Ms. Coulter's cell phone records with no effort to limit the scope of the subpoena to any particular issue. Then, after Ms. Coulter rebuffed Plaintiffs' request that she voluntarily surrender her cell phone, computer and accounts for forensic review, Plaintiffs served a second subpoena directed to Ms. Coulter demanding production of, inter alia, all of her electronic devices and data storage accounts, again without limit to any issues in the underlying case. When Ms. Coulter filed motions to quash these subpoenas, Plaintiffs retaliated by filing a motion to add Ms. Coulter as a co-defendant in the case against her husband. The Superior Court properly denied Plaintiff's motion to add Ms. Coulter as a co-defendant and granted Ms. Coulter's motion to quash the subpoena seeking her devices and data.[2]

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[1] Unlike Ms. Coulter, her husband had signed a covenant not to compete. The Superior Court preliminarily enjoined Mr. Coulter from working for Sentinel for one year. Usually, the issuance of an injunction ends such disputes. In this case, however, Plaintiffs have refused to dismiss the case; instead, they appear to be using the case as a vehicle to pursue broad ongoing discovery (perhaps in aid of the California case).

[2] The Court also granted the motion to quash the cell phone records subpoena to the extent it exceeded the scope of actual issues in the case against Mr. Coulter. See Entry Order (entered

properly denied Plaintiff's motion to add Ms. Coulter as a defendant and granted Ms. Coulter's motion to quash the subpoena seeking her devices and data.[2]

Because the Superior Court would not countenance Plaintiffs' oppressive subpoenas and would not permit Plaintiffs to add Ms. Coulter as a co-defendant, Plaintiffs filed the Complaint in this case as a separate action. Notably, the Complaint contains a request for "specific performance" that expressly seeks an order "that [Ms.] Coulter submit for inspection by Plaintiffs any computers, cellular telephones, cloud accounts, and storage devices." Complaint ¶ 49. This lawsuit is thus the apparent result of Plaintiffs' frustrated efforts to obtain harassing and overly burdensome discovery from Ms. Coulter related to its case against her husband.[3]

It is against this backdrop that Ms. Coulter is now required to expend time and resources in what can only be described as the next step in Plaintiffs' ongoing and relentless litigation campaign. But Plaintiffs' Complaint fails to assert a plausible claim. To the contrary, careful application of the law to the allegations in the Complaint shows that the claims lack merit as a matter of law. All of Plaintiffs' claims are conclusory and utterly lacking in factual support. As such, Ms. Coulter respectfully requests that the Court dismiss all the claims against her with prejudice for failure to state a claim upon which relief may be granted.

PLAINTIFFS' ALLEGATIONS

Despite the length of the Complaint, Plaintiffs' actual allegations are remarkably thin. Essentially, the core facts alleged are the following.

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[2] The Court also granted the motion to quash the cell phone records subpoena to the extent it exceeded the scope of actual issues in the case against Mr. Coulter. *See* Entry Order (entered Mar. 24) in *Blackberry Corporation et al. v. Chris Coulter et al.*, 953-10-19 Cncv (attached as **Exhibit D**).

[3] If Plaintiffs really thought that Ms. Coulter had done anything wrong, or that her employment with Sentinel would "inevitably" cause a breach of any legal obligations, then they would not have waited two and a half years to initiate this case. Rather, they would have sued her back when they sued the other former employees. The fact that this case was filed only after Plaintiffs suffered discovery setbacks in the case against Ms. Coulter's husband suggests that Plaintiffs are not pursuing these claims to vindicate a genuine legal wrong.

Ms. Coulter worked as Senior Manager Renewal Sales and as Director of Renewal Sales for Plaintiffs until September 20, 2019, when she resigned.[4] Complaint ¶¶ 2, 4. In this capacity, Ms. Coulter signed a confidentiality agreement and non-solicitation agreements. *Id.* ¶ 3. Ms. Coulter then accepted a job with Sentinel as Director of Global Renewals and began work at Sentinel on October 15, 2019.[5] *Id.* ¶¶ 4, 17.

The remainder of the Complaint is consumed with (1) detailed descriptions of Plaintiffs' business and the industry at large, *id.* ¶¶ 10-13, (2) quotes from the restrictive covenants at issue, *id.* ¶¶ 21-27, and (3) conclusory allegations – "based upon information and belief" – that Ms. Coulter has somehow breached her obligations to Plaintiffs, *id.* ¶¶ 30, 34-35, 37.

There is no allegation that identifies what information Plaintiffs claim is confidential, what information Plaintiffs think Ms. Coulter misappropriated, or any specific detail explaining why Plaintiffs believe Ms. Coulter has violated any legal obligation. When stripped of its conclusory allegations and speculative assertions, the Complaint alleges nothing at all.

LEGAL STANDARD

Under Federal Rule of Civil Procedure 12(b)(6), a court may dismiss claims when a plaintiff fails to state a claim for which relief can be granted. To survive a motion to dismiss in a civil case, a complaint must plead "enough facts to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007); *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). "To be plausible, the complaint need not show a probability of plaintiff's success, but it

[4] "Renewal Sales" focuses on working with existing customers to convince them to renew their contract. As a renewal sales professional, Ms. Coulter did not try to find new customers. Ms. Coulter continued to work in renewal sales at Sentinel. Accordingly, her job has been to work with existing Sentinel customers to secure renewal contracts. Her job does not entail soliciting new business. Thus, Ms. Coulter poses no competitive threat to Plaintiffs at all. This reality likely explains why Plaintiffs never secured a covenant not to compete from Ms. Coulter and why Plaintiffs did not sue Ms. Coulter over two years ago.

must evidence more than a mere possibility of a right to relief." *Nakahata v. New York-Presbyterian Healthcare Sys., Inc.*, 723 F.3d 192 (2d Cir. 2013). Although a court accepts as true a plaintiff's factual allegations and draws all reasonable inferences in the plaintiff's favor, this benefit does not apply to legal conclusions, and "threadbare recitals of the elements of a cause of action's elements, supported by mere conclusory statements do not suffice." *Iqbal*, 556 U.S. at 678; *Gadreault v. Grearson*, 2011 WL 4915746, at *4 (D. Vt. Oct. 14, 2011). In determining whether a plaintiff has stated a plausible claim for relief, the court may "draw on its judicial experience and common sense." *Iqbal*, 556 U.S. at 679. Allegations that are "mere conclusions are not entitled to the assumption of truth[,]" and "where the well-pleaded facts do not permit the court to infer more than the mere possibility of misconduct, the compliant . . . has not shown . . . that the pleader is entitled to relief." *Id.* at 664, 679 (alterations and internal citation omitted).

Applying this standard to Plaintiffs' Complaint, it is clear that Plaintiffs have failed to state a claim.

ARGUMENT

I. Plaintiffs Fail to Allege a Plausible Contract Claim

At its core, this action is one for breach of contract. By Plaintiffs' own telling, "they bring this lawsuit to enforce their agreements with Ms. Coulter and for damages incurred as a result of her breaches of contract, breached of the covenant of good faith and fair dealing, breaches of fiduciary duties, and her participation in a civil conspiracy with Sentinel and other former employees of Plaintiffs." Complaint ¶ 5. Plaintiffs claim Ms. Coulter violated her Restrictive Covenant Agreement ("RCA"), including an alleged improper use of confidential information (Section 1), non-solicitation of employees (Section 2), and non-solicitation of

customers (Section 3). Complaint ¶¶ 23-25, 46. This claim should be dismissed because Plaintiffs fail to allege a plausible claim for breach of contract.

"To recover damages for breach of contract in Vermont, a party must show the existence of a contract, material breach of a contractual duty, and damages." *Bank of Am., N.A. v. New England Quality Serv., Inc.*, 2017 WL 57793, at *5 (D. Vt. Jan. 4, 2017). "It is not enough to claim 'in a conclusory manner' that an agreement was breached." *Country Mut. Ins. Co. v. Altisource Online Auction, Inc.*, 2020 WL 4275660, at *5 (D. Vt. July 24, 2020), reconsideration denied, 2020 WL 6204400 (D. Vt. Oct. 22, 2020) (citing *Rodriguez v. It's Just Lunch, Int'l*, 2010 WL 685009, at *10 (S.D.N.Y. Feb. 23, 2010)). It is well established that courts may dismiss breach of contract claims on a motion to dismiss. *See, e.g., Country Mutual*, 2020 WL 4275660, at *5.

Plaintiffs claim Ms. Coulter violated Sections 1, 2, and 3 of the RCA. Section 1 of the RCA is titled "Confidential Information" and provides a broad definition that includes, in relevant part, "customer lists, methods for identifying prospective customers and communicating with prospective or current customers." Complaint ¶ 23, and Exhibit B to Complaint. In conclusory fashion, Plaintiffs allege Ms. Coulter "possessed and had access to" "confidential information about Plaintiffs' customer accounts," "unspecified 'key details on Plaintiffs' products and services,'" "intimate details on Plaintiffs' relationships with their customers, including the reasons why customers were considering renewing or not renewing their accounts and what customers were paying for Plaintiffs' products and services," customers' perceived strengths and weaknesses of Plaintiffs' products, and strategies for addressing those concerns. Complaint ¶¶ 2, 19, 34.

At the outset, few of the alleged items of "confidential information" fits into any category of "Confidential Information" in the RCA. For instance, "customer account" does not appear as confidential information on the list, nor does details on Plaintiffs' "relationships

with their customers" or their preferences for products, services, and "perceived strengths and weaknesses." Thus, most of the information that Plaintiffs describe is not even deemed confidential under Plaintiffs' own policies and contracts.

[The rest of Argument Section I, pages 8 to 11 of the filing, is not transcribed.]

II. Plaintiffs' Claim for Breach of the Implied Covenant of Good Faith and Fair Dealing Must Be Dismissed Because It Is Duplicative of Their Breach of Contract Claim

Plaintiffs claim that Ms. Coulter breached an implied covenant of good faith and fair dealing. The factual basis for this claim is identical to their claim for breach of contract claim. *See* Complaint ¶ 52 ("The conduct of Brown Coulter, including but not limited to, her bad faith actions in disclosing Plaintiffs' confidential information and soliciting Plaintiffs' Customers constitutes a breach of the implied covenant of good faith and fair dealing."). Under Vermont law, however, a breach of covenant of good faith and fair dealing does not lie where the factual allegations are identical to those for breach of contract.

The Vermont Supreme Court has held that "[w]here a party alleges both breach of contract and breach of the implied contract of good faith and fair dealing, dual causes of action are permitted only where the different actions are premised on different conduct[.]" *Tanzer v. MyWebGrocer, Inc.*, 2018 VT 124, ¶ 33, 203 A.3d 1186. The claim exists to provide a remedy in tort for conduct by a party that violates "community standards of decency, fairness or reasonableness, demonstrates and undue lack of diligence, or takes advantage of other parties' necessitous circumstances." *Monahan v. GMAC*, 2005 VT 120, ¶ 5, 893 A.2d 298 (quoting *Commercial Union Ins. Co. v. Walbec Grp., Inc.*, 412 Mass. 533, 539, 590 N.E.2d 1166, 1169 (1993)).

have power to stay litigation even where parties are not identical if stay is consistent with concerns of judicial economy).

Here, Plaintiffs' breach of contract and implied covenant of good faith and fair dealing are "not premised on different conduct," but is merely one in the same. Tanzer, 2018 VT 124, ¶ 33. This is precisely the approach Vermont courts have disallowed, and the Court should not countenance it now. Without having identified any separate, independent conduct that violates the implied covenant, the claim must fail and should be dismissed.

This case implicates only a tiny fraction of the legal issues and claims as between Plaintiffs and Sentinel. The proper place to resolve the issues is in the California trade secrets litigation and in the pending Vermont Superior Court case. If any questions currently before this Court remain unresolved after the resolution of those cases, the Court can lift the stay and the case can proceed narrowly as needed.

[Argument Sections III to V, pages 13 to 24 of the filing, are not transcribed.]

CONCLUSION

For all of these reasons, Plaintiffs have completely failed to allege a single plausible cause of action against Ms. Coulter. Therefore, Ms. Coulter respectful requests that the Court DISMISS all claims set forth in Plaintiffs' Complaint (or STAY any claim that the court concludes has been adequately pleaded).

DATED at Burlington, Vermont this 13th day of May, 2022.

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